



Stop Re-Entering

A 3 step plan to always have the best entries

SIRES x ETHOS ORDER FLOW



FIVE WRONG ENTRIES. ONE GRADED TRADE. NET +1R.

02

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The language, in plain English

Re-entering: taking the same idea again right after it stopped you out, without the read actually changing.

Aggression: market orders crossing the spread to get filled now. On my chart, pink bubbles are sell aggression, white are buy.

Reward system: the market paying your side. Upticks after buy aggression, downticks after sell.

Replenishment: the level refreshing its size as it gets hit. Three ticks or more is the minimum worth trusting.

Delta print: one outsized delta value at a price. A crowd acted there; watch whether they get paid or trapped.

Digit read: print sizes on the tape. Triple digits is conviction, a single digit where doubles were is weakness.

Location: where price sits in the higher-timeframe auction. It decides who you give leniency to.

Result: aggression that actually moves price. Effort without result is absorption working against the aggressor.

Absorption: passive orders soaking up aggression. It can be real defense or temporary liquidity; the difference is the whole lesson.

Delta: aggressive buying minus aggressive selling. A filter, not a signal on its own.

CVD: cumulative volume delta, the running total of aggression. Which side is winning the session.

R: result in risk units. Risk \$100 and make \$300, that is +3R. Lose the stop, that is -1R.



This is not about overtrading

This lesson is deliberately not called how to stop overtrading, because a lot of you like to blame psychology, and psychology is a very easy thing to blame precisely because of how vague it is. You think you're overtrading. You think the fix is limiting yourself to two or three trades a day. That isn't the fix. The goal is to stop re-entering: to prevent the second, third, and fifth attempt before they exist, because overtrading is just re-entering that already got out of hand.

Here is the reframe that actually changes behavior: blaming psychology means you don't have enough data to trust yourself. When you know, with numbers, what a confirmed entry looks like, the urge to re-enter loses its ammunition. And your risk management should be built so that even when you do overtrade, because we're all human and we all have psychological leaks, the account survives it. The rules carry you on the days discipline doesn't.

Psychology is what you blame when you don't have the data. [Get the data.](#)

WHAT THE TURNOVER ACTUALLY COSTS

Barber and Odean tracked 66,465 brokerage accounts over five years and found the households that traded the most earned about 11.4% a year while the market returned 17.9%. The gap wasn't bad picks, it was turnover itself. Re-entering the same failed idea three or four times in one session is exactly the kind of turnover that gap is made of.



Why you re-enter

The re-entry feels like a fresh read. It almost never is. Two findings from behavioral research describe the machine underneath it, and once you see them, you'll recognize both in your own trade log.

THE BREAK-EVEN EFFECT

Thaler and Johnson ran real-money experiments and found that right after a loss, people become unusually drawn to any bet offering a shot at getting back to even, even at worse odds than they'd normally accept. A re-entry straight after a stop-out is often exactly that. The setup looks attractive because it promises to erase the last loss, not because the defenders came back.

THE REALIZATION EFFECT

Imas found that once a loss is locked in, people become more careful on the next decision, but while a loss still feels open they take bigger risks trying to make it disappear. A stop-out locks the loss. Treat the next trade as a brand new decision under fresh rules, not a continuation of the one that just died.

So the honest description of a re-entry spiral is this: the first trade was a read, the second was a hope, and everything after that was the break-even effect picking trades for you. The fix is not willpower. The fix is a checklist the urge has to pass through, and that checklist is the rest of this document.

One more thing worth saying plainly: none of this makes you defective. These biases showed up in professional floor traders too, and the professionals who survived weren't the ones without the urge, they were the ones with rules around it. That study is on the risk page near the end.



The three-step plan

The whole framework on one slide



Lessons from the Ethos.™

3-Step Plan to Always Follow:

- 1.) *Location of price*
- 2.) *Reward vs Result*
- 3.) *Delta as a filter*

Vital knowledge and implementation must be learned from further trade breakdowns and daily recaps.

From the video: location of price, reward vs result, delta as a filter. Three checks, in that order, before any entry and before any re-entry. It applies to the DOM, the footprint, and the bubbles alike, because they're all showing the same information.

Step one is location, and it carries the other two. If you don't know where price sits in the higher-timeframe auction, you don't know who should be in control, so you don't know who to give leniency to. Every re-entry spiral I see starts here: the trader is fighting for a reversal in the middle of a balance, where neither side has an argument, and every wick looks like absorption because nothing has context.

I'm not re-teaching thesis building in this document. The two thesis videos are the first thing that unlocks in the free trial, and the trade breakdown video on the channel walks through it as well. What matters for this lesson is the dependency: the two steps that follow are filters on top of location, not replacements for it. Without step one they filter noise.



Step two: reward vs result

If there's so much result coming in from aggression but price is just stalling, why would you enter? There's no reward. You want to enter on a reward system: your side acts, and the market pays them for it. Buy aggression followed by upticks. Sell aggression followed by downticks that stick. Effort alone is not the signal. Effort is what the losing side produces on the way to being absorbed.

The research paper behind this series measured how early "at the touch" entries really are. Across every winning trade in the out-of-sample record, the median winner first dipped 18 ticks past the touch before it worked. The defense doesn't happen at the front edge of a level, it happens inside it. And the paper's cleanest live example is exactly the pattern this lesson teaches: the level gets tested twice, sellers get nothing both times, and only after the second test do buyers take control. Entering on the first touch is, on the numbers, usually just early. Re-entering after it fails is paying twice for being early.

Effort is what the losing side shows. Reward is what the winning side gets. Enter on reward.

THE EXECUTION VERSION OF THE SAME MISTAKE

In the same paper, identical signals chased with market orders at the touch won 27.2% of the time and lost money, profit factor 0.81. Resting inside the level won 68.8% with a profit factor of 1.80. Same read, same engine, same costs. The only difference was whether you paid for the defense or got paid to be part of it. Caveat as always: historical simulation, modelled fills.



Where the re-entries actually happen

The 40-range walkthrough from the video



NQ, 40-range bars, daily volume profile with delta and speed of tape below and CVD at the bottom. Pink bubbles are sell aggression, white are buy. The boxed areas mark where aggression clustered at the highs; the circles mark the prints that mattered.

Walk the sequence the way most people trade it. Buyers show up with result on the way up, so they enter with a small stop and get stopped. Sell aggression prints, so they flip short right into the pullback and get stopped again. More buy aggression at the wick, they re-enter, and the wick keeps absorbing. Three entries, three stops, and not one of them asked whether anyone was being rewarded. Buyers had result on the way in, then bought heavily at the highs. Were they rewarded? No. That's absorption, and it's also your answer.

The entry this framework takes is the one where sellers regain control, buyers get absorbed, and the CVD confirms by rolling over its median. One entry, taken once, because the reward finally agreed with the read.



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Step three: delta as a filter

Trapped buyers, read straight off the delta



The boxed zones hold outsized delta prints at the highs: a crowd of buyers acted there, and price paid them nothing. Those are trapped buyers. The short triggers when price breaks below the print zone, confirming the trap, with the CVD rolling over behind it.

Delta is a filter, not a trigger. A huge delta print at the highs tells you a crowd committed at one price. The next few bars tell you whether they were rewarded or trapped, and that's the only part you trade. If the print sits at the highs and price can't leave, those buyers are inventory waiting to be liquidated. Below the print, sellers are in control and you have a location-backed short with the losing side fueling it.

The tape-level version of the same read: you want the opposite side to come in and thicken, and you want the losing side to thin out. Doubles and triples where your side acts, singles where the losers used to be. When both happen at your level, the filter is passed. When neither happens, there is no trade, no matter how strong the urge is after the last stop-out.



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Failed vs confirmed absorption

Here is the uncomfortable part: failed absorption and confirmed absorption look identical at the moment most people enter. The difference only exists in time, which is why the checklist has stages instead of a snapshot. From the DOM lesson, absorption confirms in four:

- 01 Initial defense.** Aggression hits the level, volume runs above average, price holds. This is where beginners enter, and it is not confirmed. It can be temporary liquidity that gets pulled and stops you instantly.
- 02 Replenishment.** The level refreshes as it keeps getting hit, with maintained or growing size. Each refresh is the absorber telling you they're intentional. My minimum filter is three ticks of replenishment; one or two is the classic fake-out zone.
- 03 Exhaustion.** The aggressor's volume starts declining and delta turns against them. They're running out of conviction against a wall that won't move.
- 04 Lift-off.** The absorber flips from passive to aggressive and price accelerates away. That move is the reward, and it's the confirmation the first three stages were real.

THE NUMBER THAT JUSTIFIES THE PATIENCE

From my own data collection: absorption fails roughly 27% of the time when there's no pacing confirmation behind it. That's the gap between stage one and stage four, and it's where the re-entries live. Wait for replenishment and the failure rate drops sharply. This is a stated figure from my own records, not an academic study, and I treat it as context rather than gospel.

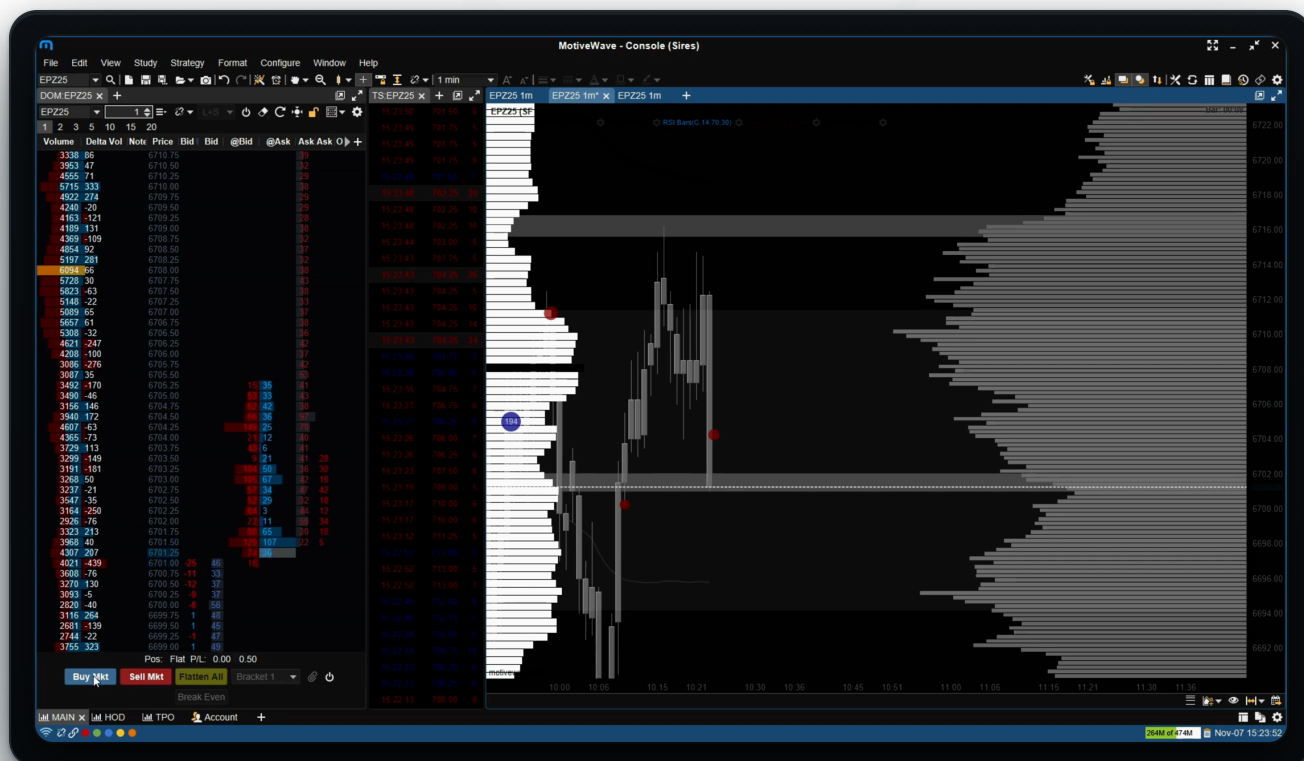


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Two clips, one is correct

In the video I showed two live entries and made you choose before I dissected them. The next two pages do the same in print. Look at the frame below, apply the three steps, and decide what you'd do before turning the page. Location first. Then reward vs result. Then the delta filter.

Clip one, the decision moment



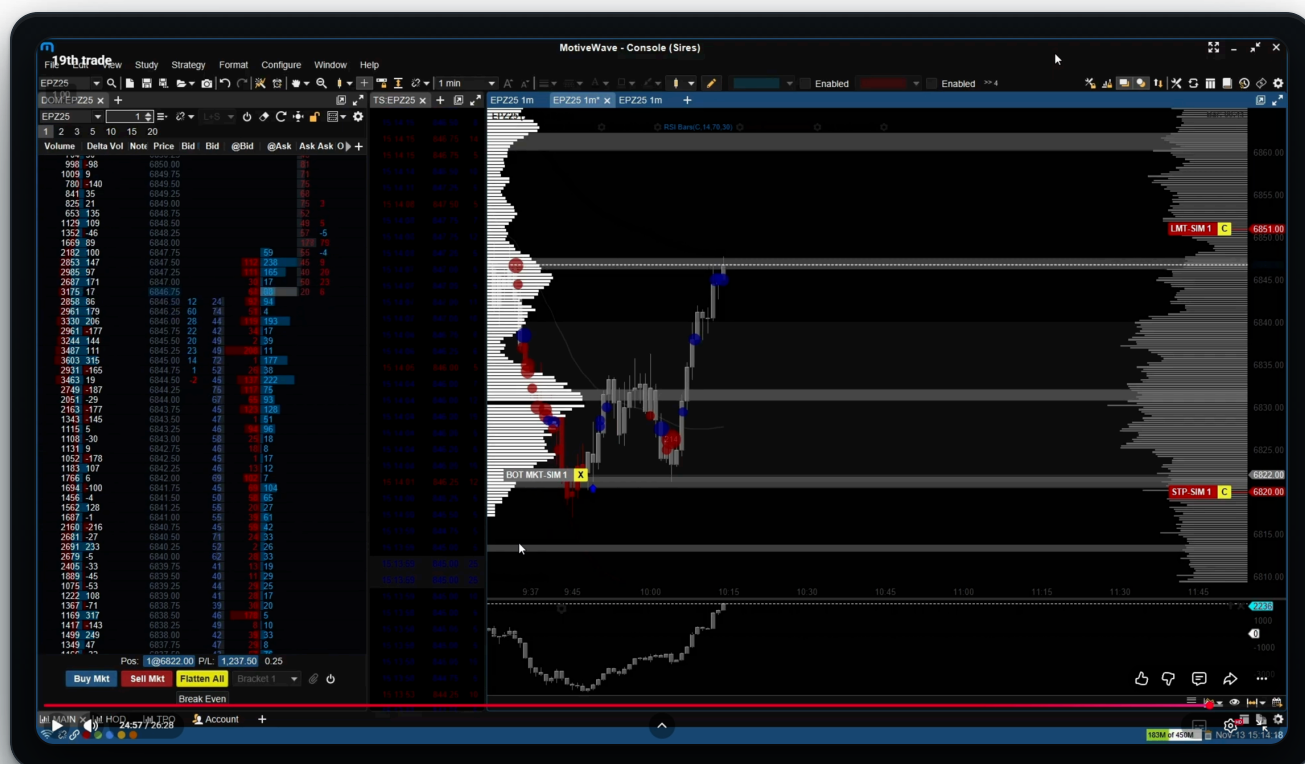
DOM, tape, and profile at the level. Sellers have been hammering into the bid. The question is not whether there's absorption, stage one is obvious. The question is whether anything past stage one has happened yet.

What you're checking, in order: is this level at a location where buyers should be in control, is the selling getting rewarded or absorbed, and is the delta agreeing with the side you want. If you need to guess on any of the three, the answer is no trade yet. Waiting is also an answer, and it's free.



12 The correct entry, dissected

Clip one: the entry that waited for stage four



The long is on, taken only after the sellers' prints collapsed to single digits and buyers answered in triples. The stop sits under the absorption, and the reward system is already paying.

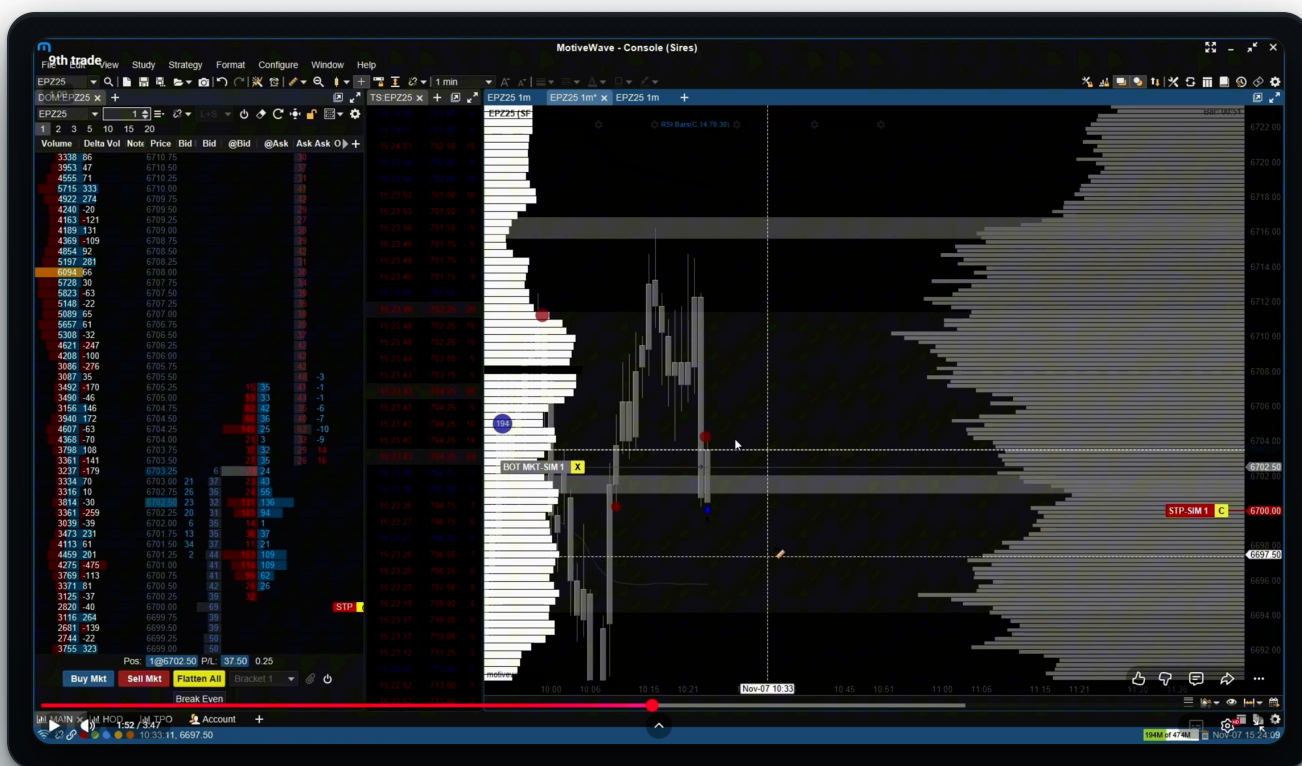
What made this one correct, step by step. Sellers came in fast, and buyers barely printed at first, so there was no reason to catch the knife. Then the read flipped in sequence: sellers' double-digit prints started thinning to singles, which is weakness you can see, while buyers answered with triple digits, which is conviction you can count. Buying pressure held on the CVD. Then the aggression came: two upticks, which is my minimum, two to four, for calling it a reward system. Enter on the aggression, not on the passiveness. Passive absorption is the setup; aggression is the trigger.

Notice what the entry did not require: prediction, courage, or a feeling about the low. Every input was observable, which is exactly why it's repeatable and why there was nothing to re-enter. The first entry was the confirmed one.



13 The wrong entry, dissected

Clip two: the long that skipped every step



The long is filled into a falling tape with the stop below. Nothing on the ladder has confirmed a thing: sellers still refreshing, buyers printing singles, and the location argues for the other side entirely.

Now the teardown. Location: the middle of a double distribution, fading a trend, exactly where neither side owes you anything. Why would you enter a reversal long there?

Reward: the tape was fully red into the entry, sell aggression was being rewarded, and the buyer at the entry printed a single digit. Delta: not with the trade, CVD trending against it.

And the entry itself came six to eight ticks above the absorption, which is far too delayed.

A delayed reward system means probably no reward system. Price tested the old sell aggression above, rejected instantly, and the stop went.

Every one of those failures was visible before the fill. That's the point of the checklist: it doesn't make you right, it makes you unable to pretend you didn't know.



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The checklist, printable

Everything in this document, in nine boxes. Screenshot this page. Before an entry, and before every re-entry, it should be able to tick every box, from zero, as if the last trade never happened.

THE THREE-STEP READ

- ☐ **Location.** I know where price sits in the higher-timeframe auction, and who should be in control here.
- ☐ **Reward vs result.** My side's aggression is getting rewarded, upticks or downticks that stick, not just producing effort against a wall.
- ☐ **Delta.** Delta agrees with my side; the opposite side is thickening while the losing side thins out.

AT THE ABSORPTION

- ☐ **Replenishment.** The level has refreshed at least three ticks. One or two is the fake-out zone.
- ☐ **Exhaustion.** The aggressor's prints are shrinking, doubles or triples down to a single, not growing.
- ☐ **Lift-off.** I am entering on the aggression that follows exhaustion, not on the passive defense itself.
- ☐ **Timing.** My entry sits within a tick or two of that confirmation, not six to eight ticks late.

RISK, EVERY TIME

- ☐ **Daily stop.** I am above minus four R for the day. If I am not, there is no trade, re-entry or otherwise.
- ☐ **Re-entry rule.** If this is a re-entry, it passes every box above from zero, not on the strength of how close it already got.

Nine boxes. If any one is unticked, the answer is no trade yet, not a smaller trade. Waiting is free.



15 Rules that survive you

Remember the opening: your risk management should allow you to overtrade and survive it, because some day you will. That is not permission, it's engineering. Two findings anchor how I size that engineering, one from professionals, one from my own research.

DISCIPLINE PREDICTED SURVIVAL

Locke and Mann studied professional futures floor traders and found the least successful were the ones who held losers longest relative to winners. Discipline, not raw skill, separated them. The pros who lasted weren't immune to the urge; they had rules that fired anyway.

THE BIGGEST LEVER ISN'T THE ENTRY

In The Refill Effect's prop-firm simulations, stopping the day at minus four risk units added about fourteen points of evaluation pass rate at every size tested, the single largest lever in the whole study. Bigger than anything entry-side. The fix for a re-entry spiral is often not a better filter, it's a hard stop on the day.

So the standing rules this lesson assumes: a daily stop at minus four R, honored mechanically. A re-entry allowed only when the checklist passes again from zero, location, reward, delta, as if the earlier trade never existed. And position risk small enough that a string of bad entries is an annoyance, not an event. If your sizing makes one bad afternoon existential, no entry framework can save you from it.

Look back at the cover for a second. Five failed re-entries at minus one R each is minus five R, past the minus four R stop this page just set. That's not a mistake in the picture, that's the honest version of the lesson: a trader honoring the daily stop never sees re-entry five. The stop doesn't just cap the damage, it deletes the worst version of the day before it happens. The sixth trade, the confirmed one, only exists to walk in because the rule kept the account alive to take it.

The checklist filters the trade. The daily stop filters the day. You need both.



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What this does not give you

The three-step plan is an entry filter, and a filter is only as good as what flows into it. Without the higher-timeframe thesis, step one is a guess and the other two are filtering noise. In the bad clip that is exactly what happened: the location was wrong, so nothing downstream could save it. The thesis work is the prerequisite, not an optional extra, and it's the first thing taught in the trial for that reason.

On the numbers: the 27% absorption-failure figure and the digit reads are from my own data collection and teaching, not peer-reviewed studies. The paper statistics are historical simulation after modelled costs, with a losing quarter sitting in the record, published. The behavioral studies below are real and heavily cited, but they describe populations, not you specifically. Nothing here is financial advice, and no number promises a future result.

One last thing, because it's the honest shape of everything in this document: absorption is not a yes or no switch, it's a process with resiliency that changes second to second. Market-microstructure research on the limit order book treats that resiliency, how fast a level's depth actually refills after getting hit, as a real, measurable, and variable property of the market, not a constant. That's the academic version of what the four stages on page 10 are teaching you to read in real time. The checklist doesn't remove the uncertainty. It just tells you where in the process you actually are.

SOURCES

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The checklist stops the re-entry. The thesis makes the first entry **worth taking.**

Location is the step this whole framework leans on, and it comes from the higher-timeframe thesis. The two thesis videos are the first thing that unlocks in the free 7 day trial, alongside three live sessions a week on NQ order flow and the full archive. Start there, then bring the checklist.

START THE 7 DAY FREE TRIAL

whop.com/ethos-orderflow

Takes two minutes. Cancel in two clicks if it is not for you.

*If you skipped here, go back and read the wrong entry on page 13 first. If you've never taken that trade, you don't need the trial.
If you have, you know.*

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Companion reading: *Origin of the Move* and *The Refill Effect*, free at kanji.org.uk